



Develop and manage business strategies

D2.TRM.CL9.03

Assessor Manual



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Assessor Manual

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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested assessment methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative assessment methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes

- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of assessment methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of practice for assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and checklist for assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

	Tick (✓)	Remarks
Prior to the assessment I have:		
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for recording competency

Specifications for recording competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for different assessment methods

Specifications for work project assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
- You are required to complete these activities:
 - Using the 'X' method of assessment*
 - At 'X' location*
 - You will have 'X time period' for this assessment*
 - You are required to compile information in a format that you feel is appropriate to the assessment
 - Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):

"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering ‘Remarks’ as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: DEVELOP AND MANAGE BUSINESS STRATEGIES		NOMINAL HOURS: 70
UNIT NUMBER: D2.TRM.CL9.03		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to develop, manage and review business strategies to attain the stated objectives of the organisation		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Identify the internal business environment 1.1 Identify and confirm <i>core features of the business</i> 1.2 Identify <i>marketing information</i> relevant to the current situation 1.3 Review <i>business performance information</i> 1.4 Identify <i>capabilities and resources</i> of the business 1.5 Identify <i>underperforming products and services</i> Element 2: Identify the external business environment 2.1 Identify <i>expected market share</i> 2.2 Identify <i>external factors impacting on the business</i>		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to all organisations that develop, manage and review business strategies to attain the stated objectives within the labour divisions of the hotel and travel industries and may include: 1. Travel Agencies 2. Tour Operation <i>Core features of the business</i> may be related to: • Core activities • Products and services offered • Customer base • Business values • Current business direction

2.3 Analyse <i>comparative market information</i> 2.4 Analyse <i>industry and customer trends</i> 2.5 Analyse the <i>legal and ethical issues</i> in the market place Element 3: Define and implement business strategies 3.1 Formulate business objectives for individual <i>business units</i> 3.2 Review existing <i>business strategies</i> 3.3 Develop <i>business strategies</i> relating to established strategic objectives for the organisation 3.4 Communicate <i>business strategies</i> to relevant stakeholders Element 4: Review the effectiveness of business strategies 4.1 Review <i>established strategies</i> 4.2 Include multiple perspectives and <i>information sources</i> in determining the effectiveness of strategies 4.3 Evaluate the <i>effectiveness of the strategies</i> 4.4 Make <i>recommendations for enhancements to strategies and plans</i>	• Mission statement <i>Identify marketing information</i> may include: • Classifying and analysing data • Considering primary and secondary data • Considering hard and soft data • Undertaking new market research where deemed necessary. <i>Business performance information</i> may be related to: • Sales and bookings • Profit • Cash flow • Trends • Market share • Business partnerships • Position in the marketplace • Image of the business • Identifying strengths and weaknesses of the business • Identifying critical success factors. <i>Capabilities and resources</i> may include: • Human resources • Financial resources • Equipment capacity
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Element 5: Manage risk associated with business strategies <i>Identify risks associated with implementation of strategic plans</i> 5.1 Access information sources in relation to identified risk 5.2 Assess risk levels 5.3 Develop written operational risk management policy 5.4 Develop written operational risk management plans 5.5 Develop written operational contingency plans 5.6 Communicate risk management strategies to stakeholders 5.7 Review and monitor risk management plans and procedures	• Staff skill levels • Hours of operation • Communication capabilities • Location/position of the agency • E-business capacity • Need for specialist assistance in certain areas. <i>Identify underperforming products and services should relate to:</i> • Analysing sales records • Determining reasons for performance, such as sales that are below expectations. <i>Identify expected market share may include:</i> • Estimating growth or decline of business • Identifying market place threats and opportunities. <i>External factors impacting on the business may include:</i> • Status of the labour market • Changes in target market populations • General economic activity, including inflation, currency exchange rates, state of relevant economies and current spending patterns. <i>Comparative market information may relate to:</i> • Best practice information • Benchmarking • Competitor activity and information.
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	<i>Industry and customer trends</i> may refer to current and emerging issues and may include: • Economic indicators • Ecological and environmental issues • Government activities • Social and cultural issues • Demographic characteristics • Technological advances. <i>Legal and ethical issues</i> may include: • Changes to legislation and regulations that have impacted, or have the potential to impact on the business • Industry codes of practice • Consumer expectations • Social responsibilities. <i>Business units</i> may include: • Individual programs and sub-programs and/or individual product and service lines • Cost centres • Branches and agencies including sub-agencies. <i>Business strategies</i> may include decisions relating to: • Business growth, including expansions and acquisitions • Contraction of the business • Catch-up • Redirection, including business turnaround
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	• Addressing specific areas such as: ▪ Technology ▪ Staffing ▪ Funding ▪ Marketing ▪ Products and services ▪ Sales ▪ Administration ▪ Structure and organisation. <i>Develop business strategies may include:</i> • Identifying internal and external business environment • Developing key organisational capability statements • Undertaking gap analysis between capabilities and expectations • Investigating and evaluating strategic options in accordance with the strategic plan for the business • Preparing plans, documenting identified strategies to indicate: ▪ Goals, objectives, targets and Key Performance Indicators (KPIs) ▪ Specific action or strategies to be taken to achieve the stated goals and objectives ▪ Timelines ▪ Allocation of responsibilities.
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	<i>Communicate business strategies</i> may include: • Using small group information sessions • Disseminating via computerised communications • Making verbal presentations and explanations Providing the strategies through in-house publications. <i>Review established strategies</i> may include: • Revising strategies in a timely fashion • Determining actual performance of the strategies. <i>Information sources</i> may include: • Interviews with stakeholders • Surveys • Focus group interviews • Research on existing programs • Solicited and unsolicited feedback • Organisational reviews • Workforce management data • Statistical data, including sales, bookings and profit. <i>Evaluate the effectiveness of the strategies</i> may include: • Assessing performance against the attainment of established indicators, including objectives, use of resources, timelines, execution of allocated responsibilities and budgets • Seeking opinions from relevant stakeholders • Validating conclusions reached in relation to strategy performance.
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	<i>Recommendations for enhancements to strategies and plans</i> should include: • Targeting recommendations to evidence-based outcomes • Reviewing internal and external business environment factors • Revising organisational policies and procedures • Revising goals, objectives and targets Recommending changes in strategic directions for the organisation. <i>Risks associated with implementation of strategic plans</i> may relate to: • People • Assets • Physical environment • Reputation and image of the organisation • Legal issues • Business continuity • Finances. <i>Information sources</i> may include: • Computer modelling • Sensitivity analysis • Structured interviews • Statistical data • Questionnaires • Fault trees analysis • Analysis of consequences including loss of money, time, labour, sales and intangibles.
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	<i>Assess risk levels</i> may include: • Determining acceptable and unacceptable risks • Classifying the level and extent of the risk • Balancing risks against opportunities afforded by taking the risk. <i>Operational risk management policy</i> should include: • Reasons for the enterprise wanting or needing to manage operational risk • Objectives of the operational risk management strategies • Statements regarding the limits of operational risk the enterprise will allow or engage in • The ways in which the enterprise will manage operational risk • Allocation of responsibilities for operational risk management • Identification of reviews of existing operational risk management strategies • Statement by management committing the enterprise to managing operational risk. <i>Operational risk management plans</i> should include: • Statement and description of the operational risks to be managed • Allocation of responsibilities and resources to attain the objectives of the plan • Descriptions of action to be taken in the event of an operational risk becoming a reality, including specific actions by nominated persons, sequencing of actions and identification of resources to assist in risk abatement/treatment • Preventative action to be taken to reduce the chance of an operational risk becoming a reality • Steps to eliminate unacceptable operational risks, including priorities for doing so • Details regarding the application of identified risk control measures to operational risks that cannot be eliminated.
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Operational contingency plans should include:

- Details of the actions the enterprise will take when an operational risk has become a reality and loss or damage has occurred, including identification of necessary scopes of authorities, changes to standard operating procedures, limitations on actions and contact with outside agencies including the media
- Processes to retrieve the situation and re-establish normal operating conditions
- Specific actions to retain customers and market share
- Specific actions to maintain industry confidence, stakeholders and customers of the enterprise
- Damage limitation and damage control protocols.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- Enterprise policies and procedures in regard to development, implementation, monitoring, review and communication of business and strategic plans
- Legislation of the host country in relation to the business operation
- Principles of data collection and research methodologies
- Knowledge of strategic planning models and theory
- Knowledge of risk management principles and processes
- Ability to prepare written plans and strategies
- Ability to apply business planning techniques and software
- In-depth knowledge of the host enterprise, industry sector, target markets, market research data, products and services offered
- Ability to analyse and interpret documents and data

	• Ability to use management, negotiation and influencing skills. Linkages To Other Units • Develop and update local knowledge • Develop a marketing strategy and coordinate sales activities • Produce documents, reports and worksheets on a computer • Plan and establish systems and procedures • Prepare business documents • Develop and implement operational policies • Develop and supervise operational approaches • Manage legal requirements for business compliance • Develop and update tourism industry knowledge • Construct and apply tourism product research • Create, implement and evaluate strategic product initiatives • Develop, manage and evaluate local marketing strategies • Source and present information • Lead and manage a development team • Monitor workplace operations.
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Critical Aspects of Assessment

Evidence of the following is essential:

- Understanding of host enterprise policies and procedures in regard to development, implementation, monitoring, review and communication of business and strategic plans
- Demonstrated ability to conduct research to identify the external and internal factors affecting or impacting on a nominated real or simulated organisation
- Demonstrated ability to review and evaluate existing business plans and strategies that apply to a real or simulated organisation
- Demonstrated ability to prepare and justify the development of a comprehensive and viable suite of business strategies and related plans to guide the operation of a nominated real or simulated organisation
- Demonstrated ability to prepare risk management policy, plans and strategies for a nominated real or simulated organisation.

Context of Assessment

This unit may be assessed on or off the job:

- Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area or area of responsibility.

Resource Implications

Training and assessment must include the use of real or simulated organisations and real industry and general environmental and marketplace business factors; and access to workplace standards, procedures, policies, guidelines, tools and equipment.

	Assessment Methods The following methods may be used to assess competency for this unit: • Observation of practical candidate performance • Analysis of portfolio of documents developed by the candidate, including research material, reviews of existing strategies, new or revised plans and strategies and evidence of risk assessment • Project work • Case studies • Oral and written questions • Third party reports completed by a supervisor • Project and assignment work.		
	Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Formulate recommendations for changes to plans and strategies
	Communicating ideas and information	2	Negotiate with stakeholders in relation to the development of business strategies
	Planning and organising activities	3	Arrange reviews of plans and strategies

	Working with others and in teams	3	Develop strategies in consultation and collaboration with stakeholders
	Using mathematical ideas and techniques	2	Assess and quantify risks; establish supporting budgets for business strategies
	Solving problems	3	Address identified risk
	Using technology	1	Use the internet to research information; use planning software

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Develop and manage business strategies D2.TRM.CL9.03
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. Explain the difference between a business plan and business strategies.	☐	☐
2. What is the difference between primary and secondary data? Provide an example.	☐	☐

Questions	Response	
	PC	NYC
3. Why is it important to review business performance when developing business strategies?	☐	☐
4. What do you consider to be the most important resources for a travel and tourism business? Why?	☐	☐
5. Why is it important to identify under-performing products and services?	☐	☐

Questions	Response	
	PC	NYC
6. What information would you like to know about leading competitors to help your organisation to improve its market share?	☐	☐
7. When developing business strategies you would conduct research on both the external and internal environments. What is the difference between these two environments? Why is it important to conduct research on both environments?	☐	☐
8. Why is it important to understand your competitors?	☐	☐

Questions	Response	
	PC	NYC
9. Why is it important to understand industry trends?	☐	☐
10. What are examples of ethical considerations for a business?	☐	☐
11. Explain the term SMART objectives.	☐	☐

Questions	Response	
	PC	NYC
12. What are examples of documents that can be useful when reviewing previous business strategies?	☐	☐
13. Why is it important to involve stakeholders when developing business strategies? Who may these stakeholders be?	☐	☐
14. What are two examples of stakeholder considerations that must be addressed when communicating business strategies?	☐	☐

Questions	Response	
	PC	NYC
15. Why is it important to review the success of business strategies on a regular basis?	☐	☐
16. What are two common examples of performance gaps in the workplace? What causes them?	☐	☐
17. Why is it important to evaluate the effectiveness of business strategies?	☐	☐

Questions	Response	
	PC	NYC
18. What is the difference between short and long term corrective action? Provide examples of each?	☐	☐
19. Describe the concept of risk management.	☐	☐
20. Why is it important to involve stakeholders in risk identification? How can you involve them?	☐	☐

Questions	Response	
	PC	NYC
21. Describe how to use a 'risk assessment matrix'.	☐	☐
22. What is the purpose of risk management 'policies'?	☐	☐
23. What needs to be considered when implementing risk management plans?	☐	☐

Questions	Response	
	PC	NYC
24. What is the purpose of a contingency plan?	☐	☐
25. How can risk management strategies be communicated to stakeholders?	☐	☐
26. What is the purpose of a 'post risk event' review?	☐	☐

Written questions

Develop and manage business strategies – D2.TRM.CL9.03

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. What are examples of general core activities performed by a staff member in the travel and tourism industry?

2. For a position of your choice in the travel and tourism industry, identify the three key tasks performed by that position which are different from those you gave in answer to Question 1.

3. Identify three sources of data that can help identify market research.

4. Briefly describe one element of the marketing mix.

5. What areas of a business would you wish to focus on when reviewing business performance?

6. What are the different methods that can be used to review business performance?

7. What are three examples of capabilities of an organisation?

8. What are examples of physical resources of an organisation?

9. What are examples of under-performance in service oriented industries?

10. What are two pieces of information you would gather when trying to determine market share of an organisation?

11. What are the different areas of the external environment you would analyse when developing business strategies?

12. What are examples of competitive advantages companies in your industry have?

13. What are sources of trend information?

14. What is an example of a law that affects a travel and tourism organisation in your country? Describe how a business can comply with the law.

15. What are three types / focus areas of objectives?

16. Why would you review previous business plans and strategies when developing new strategies?

17. What are three steps / considerations associated with developing business strategies?

18. What are two examples of information to be included when communicating business strategies to stakeholders?

19. What are examples of factors influencing the timing of business strategy reviews?

20. What are three examples of methods used to review and evaluate the effectiveness of business strategies?

21. Evaluating business strategies normally compares actual performance against KPIs. What does KPI stand for? What are two examples of KPIs?

22. What are three examples of recommendations that can be made to address underperforming products and services?

23. What are examples of internal risks for an organisation?

24. What are three techniques that can be used to identify risks in the workplace?

25. What are examples of risk analysis activities?

26. What are two policies you would identify before writing a risk management plan?

27. What information is included in a risk management plan?

28. Why is it important to plan for unforeseen events?

29. What are the benefits of communicating risk management strategies to stakeholders?

30. What is the purpose of reviewing risk management plans?

Answers to written questions

Develop and manage business strategies – D2.TRM.CL9.03

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. What are examples of general core activities performed by a staff member in the travel and tourism industry?

- Getting information
- Selling or influencing others
- Interacting with computers
- Communicating with persons outside organisation
- Updating and using relevant knowledge
- Establishing and maintaining interpersonal relationships
- Organising, planning, and prioritising work
- Communicating with supervisors, peers, or subordinates
- Documenting information
- Making decisions and solving problems
- Interpreting others
- Resolving conflicts and negotiating with others
- Performing administrative activities
- Judging the qualities of things, services or people
- Processing information
- Thinking creatively
- Analysing data or information
- Assisting and caring for others
- Coordinating the work activities of others
- Scheduling work and activities
- Monitoring and controlling resources
- Training and teaching others
- Developing objectives and strategies
- Identifying objects, actions and events
- Estimating the quantifiable characteristics of products, events or information
- Provide consultation and advice to others

- Developing and building teams
- Coaching and developing other
- Evaluating information to determine compliance with standards
- Monitor processes, materials or surroundings
- Guiding, directing and motivating subordinates
- Staffing organisational units
- Handling and moving objects.

2. For a position of your choice in the travel and tourism industry, identify the three key tasks performed by that position, which are different from those you gave in answer to Question 1.

The answers will vary depending on the position selected.

3. Identify three sources of data that can help identify market research?

- Interviewing colleagues and clients
- Focus groups
- Data analysis
- Product sampling
- Documentation reviews
- Brochures/DVDs
- Industry statistics
- Trade journals
- Daily newspapers
- Internet
- Government departments
- Local council
- Friends, colleagues, business associates
- Other associated businesses in the field.

4. Briefly describe one element of the marketing mix.

The different elements of the marketing mix include:

- Price
- People
- Process
- Physical evidence
- Placement
- Promotion
- Products and services.

5. What areas of a business would you wish to focus on when reviewing business performance?

- Areas of business performance
- Sales and bookings
- Profit
- Cash flow
- Trends
- Market share
- Business partnerships
- Position in the marketplace
- Position in the marketplace
- Image of the business
- Identifying strengths and weaknesses of the business
- Identifying critical success factors.

6. What are the different methods that can be used to review business performance?

- Reports – statistical, financial, written or verbal
- Obtaining customer feedback
- Using a pretend customer
- Use of checklists
- Staff input and review
- Observation
- Surveys
- Checklists
- Flowcharts
- Benchmarking.

7. What are three examples of capabilities of an organisation?

- Products and or services
- Capacity to produce goods or services
- Equipment capacity
- Skill level of staff, management and owners
- Hours of operation
- Communication capabilities

- Location/position of the agency
- Need for specialist assistance in certain areas
- Maintaining a competitive advantage.

8. What are examples of physical resources of an organisation?

- Equipment
- Raw materials
- Stock
- Technology
- Location.

9. What are examples of under-performance in service oriented industries?

- Staff absences
- Professional incompetence
- Service failure
- Customer complaints
- Customer attrition
- Failure to meet targets.

10. What are two pieces of information you would gather when trying to determine market share of an organisation?

- Size of the overall market
- Market Growth Rate
- Indicators of market size
- Products and services sold / product definition
- Names of competitors
- Market share - overall and for different products and services
- Past market growth
- Emerging Opportunities / Threats
- Projected market growth.

11. What are the different areas of the external environment you would analyse when developing business strategies?

- Economic climate
- Customer preferences & trends
- Markets
- Environment
- Technology
- Political issues.

12. What are examples of competitive advantages companies in your industry have?

Answers will vary.

13. What are sources of trend information?

- Direct observation
- Personal surveys
- Internet research
- Colleagues, supervisors and managers
- Head office
- Customers
- Industry suppliers
- Developing your own industry network
- Conferences and seminars
- Product launches
- Industry statistics from industry bodies or associations
- Data from relevant government agencies
- Trade magazines
- Industry publications
- Newsletters and brochures
- Advertisements
- Reference books.

14. What is an example of a law that affects a travel and tourism organisation in your country? Describe how a business can comply with the law?

Answers will vary.

15. What are three types / focus areas of objectives?

- Sales figures
- Revenues
- Delivery times
- Service standards
- Client numbers
- Client handling times
- Staff turnover
- Profit margins
- Client development
- Geographic expansion
- Organisational growth
- Service growth
- Debt reduction
- Income development
- Re-positioning the business
- New target markets
- Meeting competition
- Customer loyalty.

16. Why would you review previous business plans and strategies when developing new strategies?

To determine:

- What the earlier goals of the business were
- How the business tried to achieve them
- What has worked in the past
- The extent of the success it had in achieving its goals
- What strategies were not successful
- Reasons behind success and failure of previous strategies
- Which strategies can be used in future strategic planning, either in their existing format or amended.

17. What are three steps / considerations associated with developing business strategies?

- Involve input of stakeholders
- Identifying possible business strategies
- Developing capability statements
- Undertaking gap analysis between capabilities and expectations
- Investigating and evaluating strategic options in accordance with the strategic plan for the business
- Prepare Key Performance Indicators (KPIs)
- Define and assign roles
- Identify support and resources required to support implementation of new strategies.

18. What are two examples of information to be included when communicating business strategies to stakeholders?

- Key vision of the strategies
- Reasoning or purpose behind the business strategies
- Background information
- Business objectives
- How the strategies will be implemented
- Roles and responsibilities of key stakeholders
- Timelines
- Support mechanisms.

19. What are examples of factors influencing the timing of business strategy reviews?

- Quarterly reviews
- Business plan cycle
- Performance reports
- Major events triggering a review.

20. What are three examples of methods used to review and evaluate the effectiveness of business strategies?

- Using a pretend customer
- Observation
- Interviews with stakeholders
- Surveys
- Focus group interviews
- Discuss progress
- Solicited and unsolicited feedback
- Research on existing programs
- Organisational reviews
- Workforce management data
- Statistical data
- Comparisons with KPI's
- Checking of documentation
- Verifying time sheets
- Brainstorming sessions
- Staff input and review
- Checklists
- Flowcharts
- Benchmarking
- Gap analysis
- Compliance reports.

21. Evaluating business strategies normally compares actual performance against KPIs. What does KPI stand for? What are two examples of KPIs?

KPI stands for 'key performance indicators'

- Market share
- Sales figures
- Customer satisfaction
- Growth
- Profitability
- Turnaround times
- Output rates
- Quality rates
- Customer feedback
- Equipment usage rates
- Lead times and down times
- Compliments-complaints ratio
- Customer Satisfaction Index (CSI).

22. What are three examples of recommendations that can be made to address underperforming products and services?

- Leverage on identified strengths
- Address identified weaknesses
- Identified opportunities and threats
- Capitalising on golden opportunities
- Introducing, modifying or removing actions
- Changing the organisational structure
- Enable greater compliance
- Address future activity in relation to areas.

23. What are examples of internal risks for an organisation?

- Infrastructure
- Employees
- Process
- Business operating systems
- Technology
- Strategic

Participants may provide examples from these categories. These answers are also acceptable.

24. What are three techniques that can be used to identify risks in the workplace?

- Analysis of existing business documentation
- Conduct safety and risk audit
- Testing of equipment, plant and machinery
- Using an external, professional risk consultant
- Reviewing existing risk management strategies
- Visiting the competition and observing what they are doing
- Touring the local area
- Contacting the council
- Consultation with stakeholders
- Brainstorming
- Process charting
- Flow charts
- Critical thinking techniques
- Focus groups
- Personal workplace observation
- Reviewing any previous risk management work that has been done
- Seeking advice from peak industry bodies
- Using your personal network of contacts
- Computer modelling
- Sensitivity analysis
- Structured interviews
- Questionnaires
- Fault trees
- Analysis of consequences.

25. What are examples of risk analysis activities?

- Estimate likelihood of risk
- Estimate consequences of risk
- Risk profiling
- Determining acceptable and unacceptable risks
- Classifying the level and extent of the risk
- Risk prioritisation
- Balancing risks against opportunities.

26. What are two policies you would identify before writing a risk management plan?

Answers will vary.

27. What information is included in a risk management plan?

- Sources of risks and risk events
- Analysis of risks
- Prioritised list of unacceptable risks
- Statement and description of the operational risks to be managed
- Preventative action to be taken
- Steps to eliminate unacceptable operational risks
- Details of identified risk control measures
- Treatment options selected
- Descriptions of action to be taken
- Persons responsible for implementation
- Resources required
- Performance measures
- Timeframe for implementation
- Timetable for review of the plan
- Reporting requirements
- All organisational policies and procedures
- Proof of insurance from suppliers
- Emergency procedures for the business.

28. Why is it important to plan for unforeseen events?

- To provide direction in the event of negative situations
- To mitigate negative outcomes
- To allow the business to continue, resume or recover normal business
- Because things do not always go as planned
- To address 'due diligence' requirements
- To protect the ongoing viability of the business
- To optimise business performance
- To provide you with a sense of security.

29. What are the benefits of communicating risk management strategies to stakeholders?

- Allows rationale for the plan to be explained
- Enables restrictions etc in decision making to be communicated
- Permits individual roles and responsibilities to be more fully explained
- Enables clarification of points
- Handles last minute issues
- Sets out the access protocols to nominated resources to enable implementation.

30. What is the purpose of reviewing risk management plans?

- Measure actual progress in the workplace against the requirements of the plan
 - Determine and quantify the actual occurrences of risk in the workplace
 - Projections and expectations identified in the development of the initial risk level assessment and treatment option for that risk
 - Incorporate lessons learned
 - Look to the future.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Develop and manage business strategies D2.TRM.CL9.03
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Identify the internal business environment - Identify the external business environment - Define and implement business strategies - Review the effectiveness of business strategies - Manage risk associated with business strategies - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Identify the internal business environment		
Identify and confirm core features of the business	☐	☐
Identify marketing information relevant to the current situation	☐	☐
Review business performance information	☐	☐
Identify capabilities and resources of the business	☐	☐
Identify underperforming products and services	☐	☐

Did the candidate	Yes	No
Element 2: Identify the external business environment		
Identify expected market share	☐	☐
Identify external factors impacting on the business	☐	☐
Analyse comparative market information	☐	☐
Analyse industry and customer trends	☐	☐
Analyse the legal and ethical issues in the market place	☐	☐
Element 3: Define and implement business strategies		
Formulate business objectives for individual business units	☐	☐
Review existing business strategies	☐	☐
Develop business strategies relating to established strategic objectives for the organisation	☐	☐
Communicate business strategies to relevant stakeholders	☐	☐
Element 4: Review the effectiveness of business strategies		
Review established strategies	☐	☐
Include multiple perspectives and information sources in determining the effectiveness of strategies	☐	☐
Evaluate the effectiveness of the strategies	☐	☐
Make recommendations for enhancements to strategies and plans	☐	☐

Did the candidate	Yes	No
Element 5: Manage risk associated with business strategies		
Identify risks associated with implementation of strategic plans	☐	☐
Access information sources in relation to identified risk	☐	☐
Assess risk levels	☐	☐
Develop written operational risk management policy	☐	☐
Develop written operational risk management plans	☐	☐
Develop written operational contingency plans	☐	☐
Communicate risk management strategies to stakeholders	☐	☐
Review and monitor risk management plans and procedures	☐	☐
Access information sources in relation to identified risk	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor

Strengths:

Improvements needed:

General comments:

Candidate signature

Date

Assessor signature

Date

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other Please specify: _____ <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Develop and manage business strategies D2.TRM.CL9.03		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			

Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Element 1: Identify the internal business environment			
Identify and confirm core features of the business	☐	☐	☐
Identify marketing information relevant to the current situation	☐	☐	☐
Review business performance information	☐	☐	☐
Identify capabilities and resources of the business	☐	☐	☐
Identify underperforming products and services	☐	☐	☐
Element 2: Identify the external business environment			
Identify expected market share	☐	☐	☐
Identify external factors impacting on the business	☐	☐	☐
Analyse comparative market information	☐	☐	☐
Analyse industry and customer trends	☐	☐	☐
Analyse the legal and ethical issues in the market place	☐	☐	☐

Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response)</i>	Yes	No	Not sure
Element 3: Define and implement business strategies			
Formulate business objectives for individual business units	☐	☐	☐
Review existing business strategies	☐	☐	☐
Develop business strategies relating to established strategic objectives for the organisation	☐	☐	☐
Communicate business strategies to relevant stakeholders	☐	☐	☐
Element 4: Review the effectiveness of business strategies			
Review established strategies	☐	☐	☐
Include multiple perspectives and information sources in determining the effectiveness of strategies	☐	☐	☐
Evaluate the effectiveness of the strategies	☐	☐	☐
Make recommendations for enhancements to strategies and plans	☐	☐	☐
Element 5: Manage risk associated with business strategies			
Identify risks associated with implementation of strategic plans	☐	☐	☐
Access information sources in relation to identified risk	☐	☐	☐
Assess risk levels	☐	☐	☐
Develop written operational risk management policy	☐	☐	☐
Develop written operational risk management plans	☐	☐	☐
Develop written operational contingency plans	☐	☐	☐
Communicate risk management strategies to stakeholders	☐	☐	☐
Review and monitor risk management plans and procedures	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:**Third party signature:****Date:****Send to:**

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Develop and manage business strategies	D2.TRM.CL9.03
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Identify the internal business environment						
Identify and confirm core features of the business						
Identify marketing information relevant to the current situation						
Review business performance information						
Identify capabilities and resources of the business						
Identify underperforming products and services						
Element 2: Identify the external business environment						
Identify expected market share						
Identify external factors impacting on the business						
Analyse comparative market information						
Analyse industry and customer trends						
Analyse the legal and ethical issues in the market place						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 3: Define and implement business strategies						
Formulate business objectives for individual business units						
Review existing business strategies						
Develop business strategies relating to established strategic objectives for the organisation						
Communicate business strategies to relevant stakeholders						
Element 4: Review the effectiveness of business strategies						
Review established strategies						
Include multiple perspectives and information sources in determining the effectiveness of strategies						
Evaluate the effectiveness of the strategies						
Make recommendations for enhancements to strategies and plans						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 5: Manage risk associated with business strategies						
Identify risks associated with implementation of strategic plans						
Access information sources in relation to identified risk						
Assess risk levels						
Develop written operational risk management policy						
Develop written operational risk management plans						
Develop written operational contingency plans						
Communicate risk management strategies to stakeholders						
Review and monitor risk management plans and procedures						
Access information sources in relation to identified risk						
Candidate signature:			Date:			
Assessor signature:			Date:			

